

PERSONAL FINANCE QUESTIONS

1. The widespread financial insecurity of Americans is primarily because

- a. the incomes of Americans are low.
- b. most Americans save a very high proportion of their income.
- c. government programs are unavailable to help people when they are disabled or experience unemployment.
- d. the saving rate of Americans is low and many borrow in order to spend more than they earn.

Answer :- d. the saving rate of Americans is low and many borrow in order to spend more than they earn.

2. Tax-deferred investment plans

- a. decrease your taxable income, and thereby reduce your current tax liability.
- b. make it more difficult for people to save and accumulate wealth.
- c. increase your current tax liability so you can pay lower taxes in the future.
- d. help individuals with the lowest incomes, but they are of little value to those with the highest incomes who want to save for retirement.

Answer :- a. decrease your taxable income, and thereby reduce your current tax liability.

3. A monthly budget can help you achieve financial security by

- a. helping you choose stocks that are most likely to increase in price.
- b. reducing the likelihood that you will face unexpected expenditures for

maintenance and repairs.

c. expanding the borrowing limits on your existing credit cards and increasing the number of credit cards you hold.

d. increasing your financial awareness and helping you allocate your funds more effectively.

Answer :-d. increasing your financial awareness and helping you allocate your funds more effectively.

5. Funds invested for a newborn child's college education would be best placed in:

a. an indexed equity mutual fund.

b. a savings account.

c. a checking account.

d. a U.S. Treasury bond.

Answer :-a. an indexed equity mutual fund.

6. A prudent person is most likely to find the use of financing attractive when purchasing which one of the following items?

a. Entertainment

b. Clothes

c. Rental housing

d. A college education

Answer :-d. A college education.

7. Which of the following makes it easy for anyone to benefit from the diversified ownership of American corporations?

- a. Money market mutual funds.
- b. Equity mutual funds.
- c. Corporate bond mutual funds.
- d. Interest earning checking accounts.

Answer :-b. Equity mutual funds.

9. Which of the following outstanding debts would be most prudent to pay off first?

- a. \$5000 borrowed from your parents at a 0 interest rate.
- b. A \$2000 debt on a credit card charging an 18 percent annual interest rate.
- c. A home equity loan of \$10000 which has an effective interest rate of 6 percent.
- d. A student loan of \$40,000 with a fixed interest rate of 4 percent.

Answer :-b. A \$2000 debt on a credit card charging an 18 percent annual interest rate.

11. Should you accept your employer's offer to match eligible earnings used to purchase company stock?

- a. Yes, you should purchase the company stock and hold onto it for as long as possible.
- b. Probably, the matching of your contributions makes it attractive, but if you

buy the company stock you should sell it when permitted to do so in order

to keep your portfolio diversified.

c. No, you should not participate. The company is merely trying to take

advantage of you.

d. No. It never makes sense to buy the stock of the company for which you

Work.

Answer :-b. Probably, the matching of your contributions makes it attractive, but if you buy the company stock you should sell it when permitted to do so in order to keep your portfolio diversified.

12. Personal financial success is primarily the result of

a. generous welfare and unemployment programs.

b. spending more than you earn.

c. doing what you are passionate about regardless of whether others value it.

d. providing services others value while working hard to achieve financial Goals.

Answer :-d. providing services others value while working hard to achieve financial goals.

13. If you are using a credit card prudently, you should

a. make only the minimum payment each month.

b. pay the balance in full each month.

c. pay only the interest on any outstanding balance.

d. gradually expand the amount borrowed to the card's credit limit.

Answer :-b. pay the balance in full each month.

14. Which of the following will help you generate income and accumulate wealth?

- a. Getting another credit card so you will have more borrowing power in the future.
- b. Borrowing funds in order to increase your current consumption .
- c. Allocating funds regularly into savings and investments.
- d. Making only the minimum monthly payment on your outstanding credit card balances.

Answer :-c. Allocating funds regularly into savings and investments

15. A couple that is currently renting but is contemplating a move to another city in the near future should

- a. buy if they can arrange a monthly mortgage payment less than their current rent.
- b. buy because real estate will always increase in value.
- c. continue renting because real estate is illiquid and costly to buy and sell.
- d. continue renting because rental payments are tax-deductible but mortgage interest payments are not.

Answer :-c. continue renting because real estate is illiquid and costly to buy and sell.

16. Historically, which of the following has yielded the highest rate of return when held over a long period of time?

- a. A diverse holding of corporate bonds.
- b. A diverse holding of common stocks.
- c. Money market mutual funds.
- d. U.S. Treasury bonds.

Answer :-b. A diverse holding of common stocks.

17. Diversification of one's stock portfolio is important because

- a. it reduces the likelihood of a dramatic change in value over a relatively short period of time.
- b. it will always yield a higher rate of return than a narrow group of related stock investments.
- c. the dividends of a diversified stock portfolio are guaranteed.
- d. the initial funds used to purchase the stocks will always be returned to the Investor.

Answer :-a. it reduces the likelihood of a dramatic change in value over a relatively short period of time.

18. A monthly budget is an effective tool that will help you

- a. spend a larger share of your earnings now.
- b. manage your spending and save for the future in order to accumulate wealth.
- c. keep your transportation costs low by purchasing a new car every two or three years.

d. select stocks that are more likely to increase in value over the long run.

Answer :-b. manage your spending and save for the future to accumulate wealth.

19. It is costly to purchase a new car every two or three years because

a. the maintenance cost of a new car is generally higher than for a used one.

b. the financing cost is significantly higher for a new car than for a used one.

c. a new car will depreciate rapidly in value during the first few years of use.

d. the taxes for the fuel of a new car are generally higher than for a used

One.

Answer :-c. a new car will depreciate rapidly in value during the first few years of use.

20. Compared to managed equity funds, indexed equity mutual funds generally

yield a

a. lower return because the indexed funds spend more on research and stock trading, and therefore have higher administrative costs than managed funds.

b. higher return because the indexed funds spend less on research and stock trading, and therefore have lower administrative costs than managed funds.

c. lower return because the managed funds have more profitable companies

in their portfolio.

d. higher return because the indexed funds are tied to the consumer price index, which assures that their value will always keep up with the inflation rate.

Answer :-b. higher return because the indexed funds spend less on research and stock trading, and therefore have lower administrative costs than managed funds.

21. The concept of present value relates to the idea that*

a. The discount rate is always higher when you invest now than in the future

b. The discount rate is always higher when you invest in the future than now

- c. The money you have now is worth less today than an identical amount you would receive in the future
- d. The money you have now is worth more today than an identical amount you would receive in the future

Answer :-d

22. Based on the numbers given below, calculate the net present value (NPV) of this project.

Required rate of return	12%			
Time	0	1	2	3
Future value	-500	100	250	380

- a. 59.06
- b. 459.47
- c. 230.00
- d. 205.36

Answer :-a

23. What is an annuity?*

- a. An investment that has no definite end and a stream of cash payments that continues forever

- b. A stream of cash flows that start one year from today and continue while growing by a constant growth rate
- c. A series of equal payments at equal time periods and guaranteed for a fixed number of years
- d. A series of unequal payments at equal time periods which are guaranteed for a fixed number of years

Answer :-c

24. Calculate the price of a dividend paying stock using the following information, assuming the price is equal to the present value of all future dividends one will receive from owning the stock. (Hint: treat the stock as a growing perpetuity)

Dividend	\$4.50
Growth rate	2%
Required return	12%

- a. \$37.50
- b. \$32.14
- c. \$42.60
- d. \$45.00

Answer :-d

25. What is a par value of a bond?*

- a. The amount borrowed by the issuer of the bond and returned to the investors when the bond matures

- b. The overall return earned by the bond investor when the bond matures
- c. The difference between the amount borrowed by the issuer of bond and the amount returned to investors at maturity
- d. The size of the coupon investors receive on an annual basis

Answer :-a

26. When the price of a bond is above the face value, the bond is said to be*

- a. Trading at par
- b. Trading at a premium
- c. Trading at a discount
- d. Trading below par

Answer :-b

27. Which of the following is true when a bond is trading at a discount?*

- a. $\text{Coupon Rate} > \text{Current Yield} > \text{Yield to Maturity}$
- b. $\text{Coupon Rate} < \text{Current Yield} < \text{Yield to Maturity}$
- c. $\text{Coupon Rate} = \text{Current Yield} = \text{Yield to Maturity}$

d. Coupon Rate < Current Yield = Yield to Maturity

Answer :-b

28. The concept of time value of money is that*

a. The cash flows that occur earlier are more valuable than cash flows that occur later

b. The cash flows that occur earlier are less valuable than cash flows that occur later

c. The longer the time cash flows are invested, the more valuable they are in the future

d. The future value of cash flows are always higher than the present value of the cash flows

Answer :-a

29. What is the enterprise value of a business?*

a. The market value of equity of the business

b. The book value of equity of the business

c. The entire value of the business without giving consideration to its capital structure

d. The entire value of the business considering its capital structure

Answer :-c

30. Which of the following is the formula to calculate cost of capital?*

- a. $\text{Total assets/Net debt} \times \text{Cost of debt} + \text{Total assets/Equity} \times \text{Cost of equity}$
- b. $\text{Net debt/Equity} \times \text{Cost of debt} + \text{Equity/Net debt} \times \text{Cost of equity}$
- c. $\text{Net debt} \times \text{Cost of debt} + \text{Equity} \times \text{Cost of equity}$
- d. $\text{Net debt/Total assets} \times \text{Cost of debt} + \text{Equity/Total assets} \times \text{Cost of equity}$

Answer :-d

31. Company A has a capital structure of \$80M debt and \$20M equity. This year, the company reported a net income of \$17M. What is Company A's return on equity?*

- a. 117.6%
- b. 21.3%
- c. 85.0%
- d. 28.3%

Answer :-c

32. Which of the following is not an investment grade credit rating?*

- a. BB+
- b. BBB+
- c. BBB
- d. BBB-

Answer :-a

33. Which of the following is not true about private equity funds?*

- a. Private equity funds are pools of capital invested in companies which represent an opportunity for high rate of return
- b. Exit strategies for private equity funds include Initial Public Offerings (IPOs) and leveraged buyout (LBO)
- c. Venture capital is an example of private equity funds
- d. Private equity funds are usually invested for unlimited time periods

Answer :-d

34. ____ underwriting commitment is when the underwriter agrees to buy the entire issue and assume full financial responsibility for any unsold shares.*

- a. Best efforts
- b. Firm commitment
- c. All-or-none

d. Full-purchase

Answer :-b

35. The correct order of capital stack from the most to least secured is*

a. Equity > Subordinated debt > Senior debt

b. Subordinated debt > Senior debt > Equity

c. Senior debt > Subordinated debt > Equity

d. Senior debt > Equity > Subordinated debt

Answer :-c

36. Which of the following is not a financing activity?*

a. Repayment of long-term debt

b. Issuance of equity

c. Investments in businesses

d. Payment of dividends

Answer :-c

37. What is working capital?*

a. Equity Capital + Retained Earnings

b. Equity Capital - Total Liabilities

c. Total Assets - Total Liabilities

d. Current Assets - Current Liabilities

Answer :-d

38. Which of the following is not true about goodwill?*

a. Goodwill needs to be evaluated for impairment yearly

b. Goodwill is treated as a tangible asset in accounting

c. Goodwill is a result of purchasing a company for a price higher than the fair market value of the target company's net assets

d. Goodwill can be comprised of things such as good reputation, loyal client base, and brand recognition

Answer :-b